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Market Commentary

WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

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Last Week's S&P 500 Index:
-0.6%

Key Takeaways

» *In virtually every case, no matter how confident you are in your analysis about future market direction, there is a chance that you will be wrong.*

» *Two risks that could result in our year-end target not being optimistic enough would be meaningful progress on fiscal stimulus coming out of Washington, DC quicker than we currently expect and the possibility investors experience a bout of over-exuberance that causes them to "chase" stocks higher.*

Two Upside Risks to Our Year-End Equity Target

In last week's piece, we reiterated our outlook in terms of the year-end 2017 target range for the S&P 500 Index that we set back in September. We also reviewed the four main headwinds that we believe will result in a modest fade for the index in the second half of this year. As strategists, we tend to focus on the outcomes that our analysis suggests may actually occur. But, of course, there is always the other side of the market coin. It's the side that shows itself when the projections our Equity Strategy group have made turn out to be just plain wrong. Because in this business, as much as our analyst team works hard to avoid it, we are not going to be right 100 percent of the time. If that wasn't the case, this piece would be penned each and every week from my private island in a very warm, very undisclosed location.

But let's get back to reality. In the financial markets, most of the time, there are plenty of things that can happen that will trip up any outlook you might have. Whether you are trying to predict an economic indicator (like gross domestic product growth), the price of a commodity (like oil), or where an equity index (like the S&P 500 Index) will be on any given date in the future, there is always room for error. And, to be honest, there is usually quite a bit of room for error. Unforeseen surprise events that affect the global financial markets typically occur from time to time over the course of a cycle. And every now and then, negative events that were well known but considered a low probability do actually occur.

As is the case in every cycle, when we look ahead, the natural question is what could happen that would result in our view of the equity market not being correct. This is especially true now as the S&P 500 Index is trading modestly above the top end of our 2,230 to 2,330 year-end target range. Recall that we have been looking for the index to hit its high for 2017 in the middle portion of the year, not too far above the top end of our year-end target range. So far, so good.

But two primary risks to our outlook stand out in this strategist's mind. First, our elected officials in Washington could show positive progress on fiscal initiatives that may be substantial enough to help push the domestic economy ahead and extend this expansion more quickly than what we have expected. Stocks likely would react positively if the level of congressional cooperation rose to the point where meaningful economic stimulus was actually implemented. A second risk to our outlook would involve a bout of exuberance resulting in a broader swath of investors, many of whom have been sitting on too much cash for much of this rally, to suddenly start chasing the market and jumping into stocks, worried that they might miss the next move higher in the major indices.

We could make a rational argument that eventually something big will get done in Washington. We also could make the argument that at some point before the next bear market, investors will be anxiously buying equities. But we just don't think either will happen in the near term.

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